



Long AUD – The Antipodean Advantage

Global Macro

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Executive Summary

Overview

- **The AUD is entering 2026 with improving structural credibility**, supported by stable institutions, predictable policy, and growing global demand for non-USD exposure.
- **Market positioning remains light**, with sentiment toward AUD still anchored to outdated “pure risk-on” assumptions, creating room for repricing as conditions shift.
- **Foreign capital is rotating into Australia across multiple channels**, from FDI to services activity, indicating stronger international confidence in Australia’s medium-term outlook.
- **Shifts in global liquidity and cross-currency hedging behavior** are increasing the AUD’s relevance as a diversification asset.

Trade Execution

Purchase of June 26 AUD/USD Futures	
Futures Settlement (as of Nov. 28, 2025)	0.65535 USD/AUD
Bull	0.7009 USD/AUD
Base	0.6881 USD/AUD
Bear	0.6712 USD/AUD
Implied Base Case Upside (USD\$5,000 Margin Assumption)	65.5%

Investment Theses

1

Rate Differential Tailwinds: Why We Expect a Hawkish RBA & a Dovish Fed

- The **RBA’s hawkish hold at 3.60%**, backed by sticky inflation, stronger-than-expected labor markets, and resilient housing, **keeps Australia firmly on a higher-for-longer path through 2026H1**.
- The **Fed is pivoting toward a dovish stance into 2026H1**, as weakening underlying economic momentum (slowly softening labor market, slowing consumption) outweighs inflation bumps, **pointing to earlier U.S. easing relative to Australia**.

2

Trade and Capital Tailwinds: Broadening Export Base, Asia Exposure & Capital Inflows

- **Export strength is broadening beyond commodities** and commodity prices are stickier than expected, with Asian partners exceeding resilience expectations. **Gold is emerging as Australia’s next major export pillar**, with earnings surging and production expanding.
- **Capital inflows remain supportive**, reinforced by Australia’s political stability, tariff insulation, and a rising global shift to hedge USD exposure.





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Section II. Recommendation

Section III. Valuation

Section IV. Risks & Catalysts

Section V. Appendix



Overview

Section I.



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Trade Preamble

What is a Future?

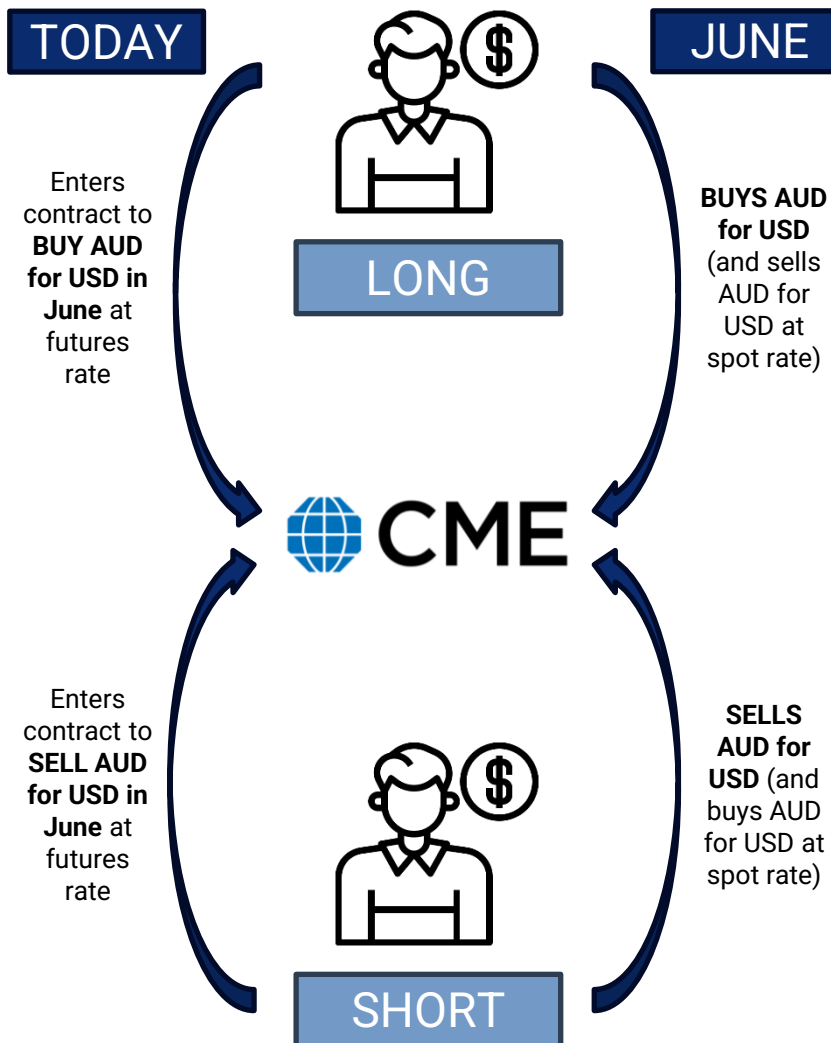
A future is a **standardized contract traded on an exchange** where **two parties agree today on the price of an asset** that will be bought or sold at a specific date in the future. It locks in the price now, and the contract's value fluctuates as market prices change until settlement.



How AUD Futures Trade (CME)

- Each contract represents **AUD 100,000 notional**, so every price move directly scales by 100,000. The **maintenance margin is set at 1,900 USD**.
- Contracts are **cash-settled, marked to market daily**, and traded in fixed minimum increments called **ticks**.
- Tick size:** 0.00005 USD per AUD → **Tick value:**
 $0.00005 \text{ USD/AUD} \times 100,000 \text{ AUD} = \5
- Daily Mark-to-Market:**
 $\text{Daily P/L} = (\text{Settlement Price}_t - \text{Settlement Price}_{t-1}) \times \text{Notional}$
- Total Trade Profit & Loss:**
 $\text{P/L} = (\text{Expected spot USD/AUD} - \text{Futures USD/AUD}) \times 100,000 \text{ AUD}$
- Total Trade Returns:**
 $\% \text{ Returns} = \text{Profit} / \text{Margin}$

How the Purchase of a Future Works (June 26 AUD/USD)





Short History of Australia & Macro Overview

Short History of Australia

- Indigenous presence for 60,000+ years before **British settlement began in 1788**.
- Six British colonies unified in **1901** to form the **Commonwealth of Australia**.
- **6 states**: New South Wales, Victoria, Queensland, South Australia, Western Australia, Tasmania.
- **2 territories**: Australian Capital Territory, Northern Territory.
- Federal parliamentary democracy with **strong institutions and a resource-rich, Asia-oriented economy**.
- **Unique geopolitical position**: Australia maintains strong alliances with US/Canada/Europe while maintaining good trading relationships with China and other East Asian markets.

Historical Drivers of AUD

Primary Drivers:

- **Interest rate differentials**: Wider Fed-RBA spreads typically weaken AUD, while tighter spreads strengthen AUD.

Secondary Drivers:

- **Commodity prices**: AUD has historically tracked terms of trade, especially for iron ore.
- **China's economic cycle**: Australian exports highly leveraged to Chinese import demand.
- **Risk sentiment**: AUD has historically behaved like a pro-cyclical, "risk-on" currency (note that relationship has recently been changing).
- **Global growth outlook**: Stronger global manufacturing typically correlates with a stronger AUD.

Consensus Outlook (2026)

- Australia's economic activity rebounded in Q3 2025, with **Real GDP growing by 1.8% on an annual basis, exceeding 1.6% expectations**, thus delivering the highest real annual growth rate since 2023. Real GDP YoY growth is expected to stay at 1.8% by year-end and **reach 2.2% by 2026**.
- **Inflation was forecasted to reach 2.8% by the end of 2025** (should change following **3.8% October CPI** announcement) and reach 2.9% by the end of 2026.
- **"A cyclical lift in household spending will keep labor market conditions tight and will also keep inflation above 3% through 2026 and 2027."** – Stephen Roberts, Laminar Capital Economist

AUD/USD 10-Year Monthly Spot Rate



Australia: A Resource-Rich, Globally Connected Economy Driving AUD Dynamics



Why is This Not Priced In?



Lags in Market Recognition of Structural Shifts

Shifts like increased services exports or gold becoming the second-largest export are often underappreciated structural changes compared with headline GDP or commodity data.



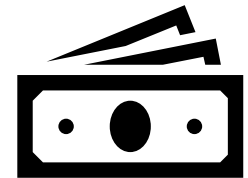
Monetary Policy Divergence Still Underappreciated

Markets have historically underestimated how long the RBA will keep rates elevated versus the Fed cutting (especially until very recently), and as such, investors may not yet fully price in the widening rate differential.



China's Surprising Economic Resilience

Recent data suggests China's recovery is stronger than surveys indicate. Investors have been slow to fully price the impact of more resilient China, and the extent of the CCP's readiness to deploy fiscal stimulus.





Co-Movements Between AUD/USD and the AU–US Rate Spread

April 2020

- Fed cut its policy rate to a corridor of 0-25 bps as global markets entered extreme risk-off mode
- Investors rushed into USD for safety, causing a sharp USD spike and an outsized drop in AUD/USD, even though the rate differential did not justify such a move.

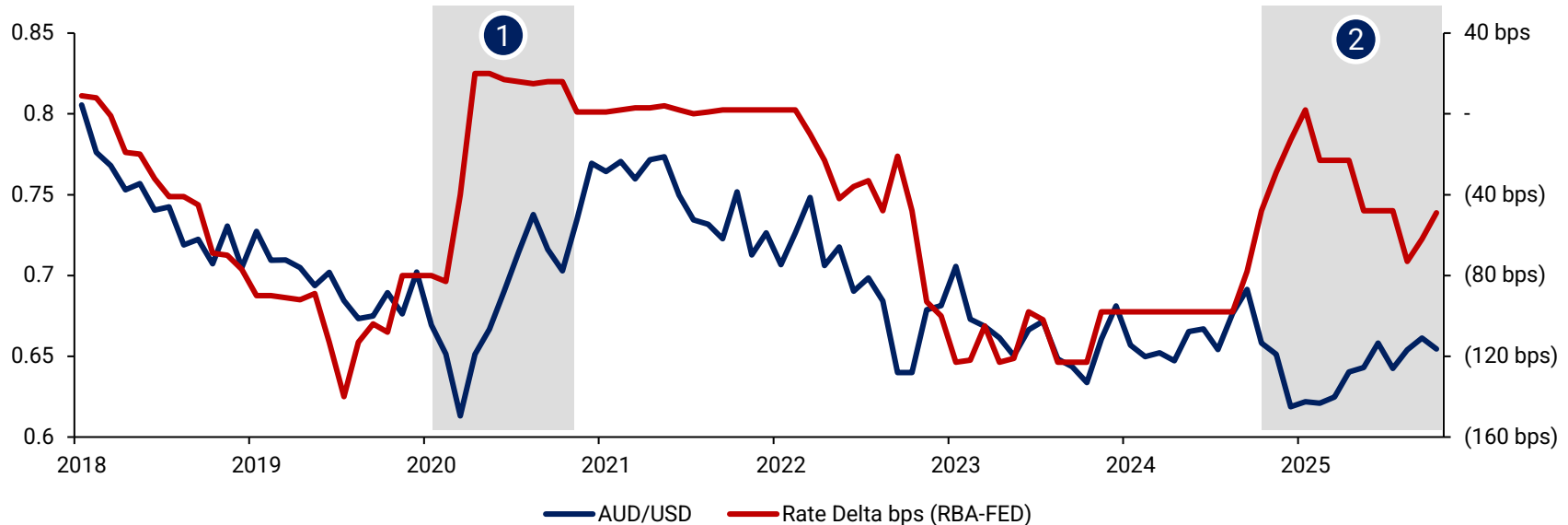
1

2

Mid-2024 to Mid-2025 ($r = -0.8$)

- In mid-2024, Trump-campaign optimism drove USD inflows despite no Fed tightening, pushing USD/AUD lower, even as fundamentals pointed the other way.
- In early 2025, sentiment reversed as tariff fears peaked, weakening confidence in US growth and triggering USD depreciation. Markets priced earlier Fed cuts, Rate Delta fell, and AUD/USD rebounded.

USD/AUD vs RBA-Fed Rate Spread





Thesis 1: Rate Differential Tailwinds

Section II.

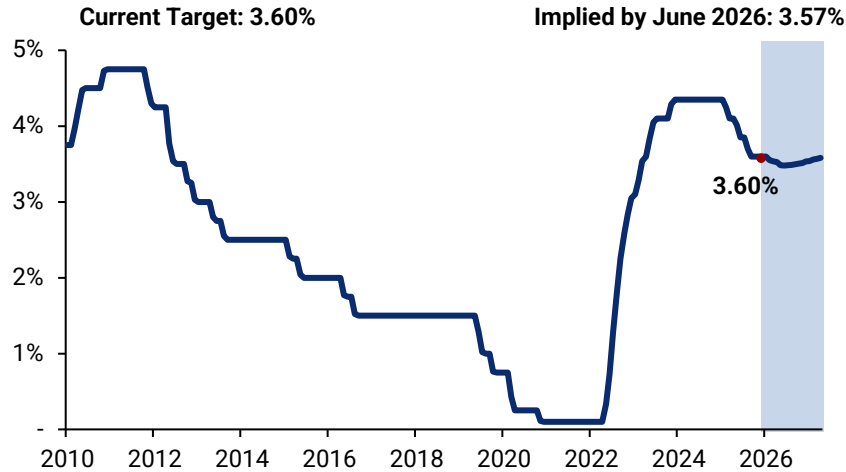


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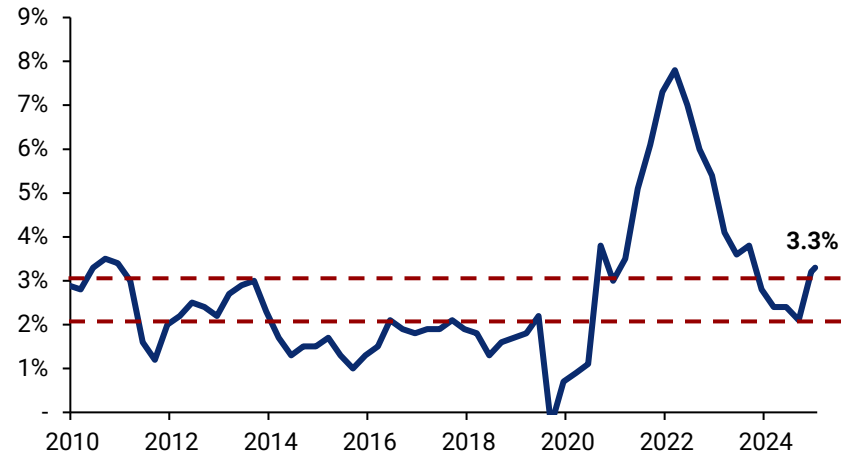


Thesis 1: Australia's Rate Advantage

Australian Cash Rate Target



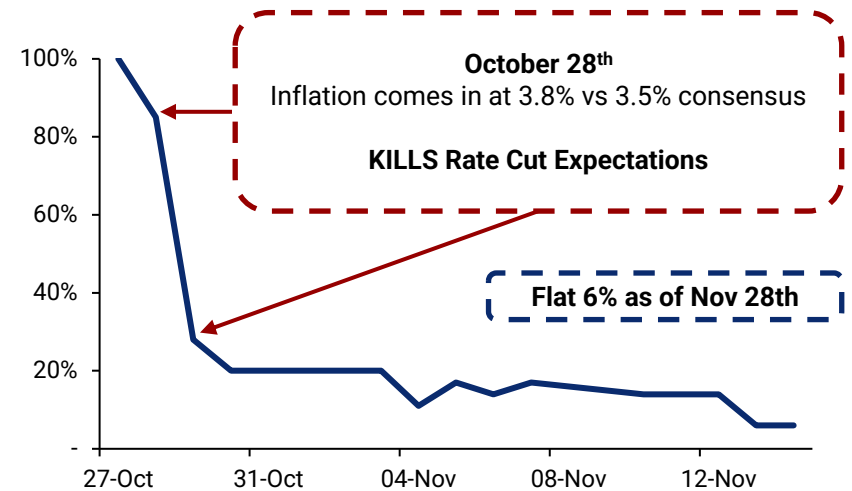
Australian Trimmed Mean Inflation (Headline 3.8% vs 3.5% Sept.)



Australian Unemployment Rate

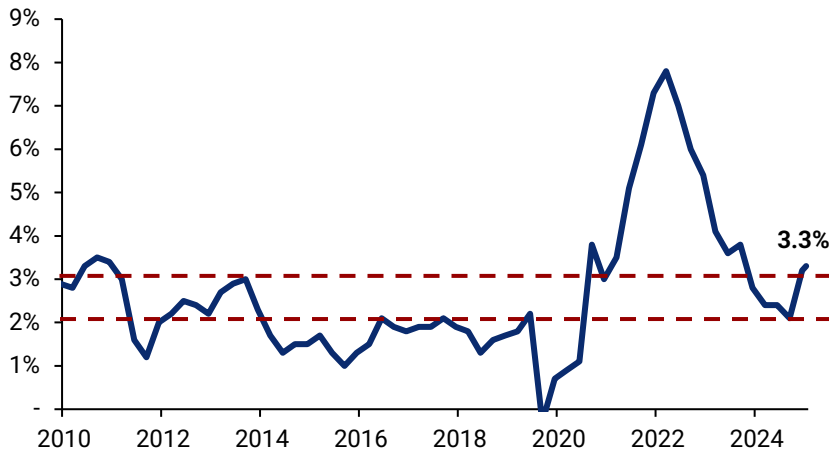


30-Day Interbank Cash Rate Target Implied Expectation of Change



Thesis 1: Australia's Rate Advantage

Australian Trimmed Mean Inflation (Headline 3.8% vs 3.5% Sept.)



The Stickiness of Services Inflation



Insurance and financial services inflation contributed **0.14 percentage points to CPI in October (+2.5% YoY)**. This inflation group is unavoidable by households.



Education expenditures, which re-benchmark each fiscal year, continue **to increase at rates well above the inflation target (5.4% YoY)**, driven primarily by elevated academic and administrative wage pressures.



Prices for meals out & recreational activities are rising. Perhaps a reflection of demand, as **spending has increased despite the price hikes**, showcasing a strong consumer.

Housing

- Housing contributes **1.25%** to the annual inflation rate, effectively setting a mathematical floor that prevents headline CPI from returning to target (individually at 5.9% inflation).
- Vacancy rates hover near **historical lows (~1%)** versus a **balanced 3% market rate**.
- This shortage is driving advertised rents up at double-digit rates.
 - It takes **approximately 12-18 months for a spike in market rents to fully flow through to the CPI**.
 - Housing CPI is expected to remain elevated through 2026.
- Construction costs **have risen** due to labor shortages.

"New dwelling prices increased by more than expected in September as builders reduced discounts and increased base prices."

– RBA, November 2025

The Impact of Administered Prices and Subsidies

- Government electricity rebates in 2024 temporarily lowered **headline inflation**.
- As these subsidies **expire (EOY) and cycle out** of annual data, headline CPI is expected to slightly rebound.
- The RBA expects headline inflation to remain **above 3%** for much of **2026**, partly driven by the cessation of these rebates.
- Although central banks typically "look through" one-off fiscal changes, overall **price levels simply do matter**.
- Higher energy bills → higher wage demands → Wage Spiral?**

Demand Outlasts the Rate Hikes, The Consumer is Unsinkable

Thesis 1: Australia's Rate Advantage

Australian Unemployment Rate



A Tight Labor Market



At 67.1%, workforce participation is near record highs. These levels of labor supply have helped contain wage growth to some extent, but they are also the reflection of strong labor demand.



The ratio of job vacancies to unemployed persons remains elevated compared to pre-pandemic levels. The RBA notes that "firms continue to report some difficulty finding labor", particularly in skilled trades and services.



Underemployment has not risen as sharply as unemployment, suggesting that while hiring has slowed, firms are holding onto their existing hours. They value the worker more than the cost of their current wages.

Assessing Full Employment and Slack

- Labor Productivity Growth: +0.2% (Year to June 2025)
- Wage Price Index: +3.4% (Year to June/Sept 2025)

$$\Delta \text{Unit Labor Costs} = \Delta \text{Wages} - \Delta \text{productivity}$$

$$3.2\% = 3.4\% - 0.2\%$$

- In the long run, **prices must rise to cover costs**. If ULC grows at 3.2%, services inflation will tend to converge to that level.

"It would be premature to say Australia's productivity malaise has passed."

– Productivity Commission September 2025 Bulletin

- The RBA's own forecasts assume a pickup in productivity to stabilize inflation. However, this pickup has **failed to materialize for five consecutive quarters**. If productivity remains stagnant, the RBA cannot tolerate wage growth of 3.4%.
- Since the RBA cannot legislate higher productivity, its only lever to lower ULC is to suppress aggregate demand. **This implies a higher cash rate for a longer duration.**

Public Sector Wage Dynamics

- The **Health Care and Social Assistance** industry is the most significant driver of recent wage growth, rising by **1.5% QoQ**
- Public sector wages (nurses, teachers, police officers, etc.) are determined by government policy and multi-year union agreements
- Public sector wage agreements, often implemented to address **cost-of-living pressures**, act as a **floor** for private sector labor cost expectations.

Wages are finally covering costs, but until productivity accelerates, Australia's interest rate advantage remains costly and sustained



Thesis 1: Australia's Rate Advantage

Westpac Consumer Sentiment



In November 2025, the Westpac-Melbourne Institute Consumer Sentiment Index delivered a shocking result, **surging 12.8% MoM to 103.8**. This move propelled the index into optimistic territory (above 100) for the first time since early 2022.

1

Geopolitical De-escalation: The US-China trade framework removed a catastrophic tail risk, boosting confidence in the broader economic outlook.

2

Wealth Effects: Despite high rates, national home prices have continued to rise (up ~6-8% annualized). **Homeowners feel wealthier**, which increases their **marginal propensity to consume**, even if actual cash flows are constrained.

3

Adaptation: Households have adapted their budgets to the new normal of 3.6% cash rates. The initial shock has faded, replaced by a stable, albeit expensive, operating environment.

Spending Patterns

While sentiment indicators can be volatile, the trend is validated by concrete transaction data. The Commonwealth Bank **Household Spending Insights (HSI) Index for October 2025 rose 0.6% MoM, marking the thirteenth consecutive month of growth.**

- **Discretionary Services:** Spending on online gaming (+43.4%) and video streaming (+24.3%) YoY has surged. This suggests that households still retain disposable income for entertainment.
- **Hospitality:** Eating out and takeaway remain robust categories (+1.0% MoM). This directly feeds into the sticky services inflation
- **Transport:** Spending on motor vehicles and transport is rising (+1.2% & 1.0% MoM), indicative of **continued mobility and big-ticket purchases**.

Economists have debated how households are funding this level of consumption...

The answer likely lies in the massive accumulation of savings during the pandemic, estimated at over \$250 billion.

- While lower-income cohorts have exhausted these savings buffers, the aggregate household sector, **older debt-free households retain significant spending power**.
- The transmission of monetary policy **crushes young mortgage holders**, but boosts the income of **self-funded retirees via higher deposit rates**.
- This level of spending suggests that, to achieve a given level of aggregate demand destruction, **the cash rate needs to be higher than in previous cycles**, or at least maintained high long enough.

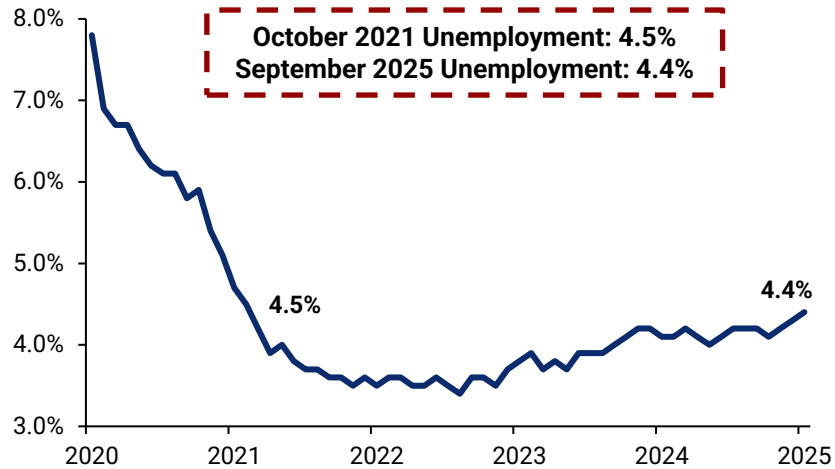
Australian consumer sentiment, inflation and unemployment trends all point towards a more hawkish RBA



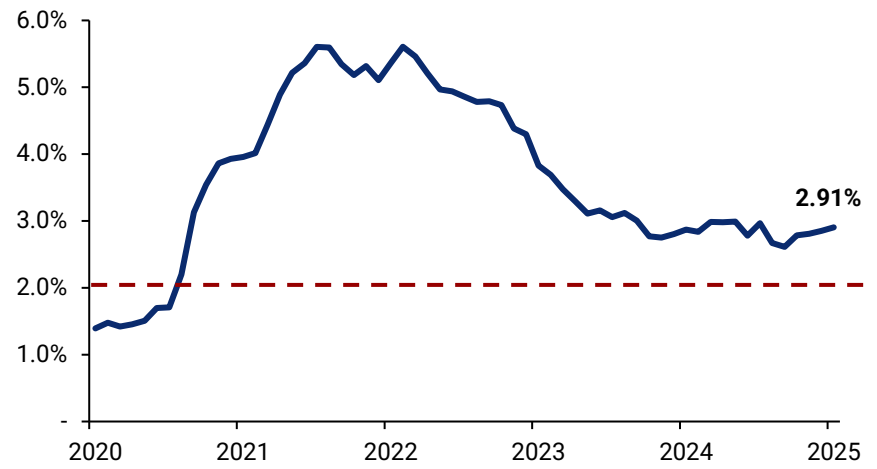


Thesis 1: Australia's Rate Advantage

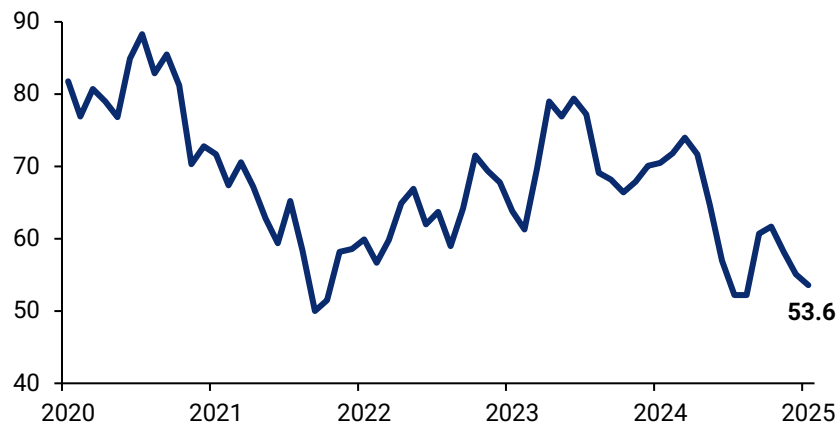
US Unemployment



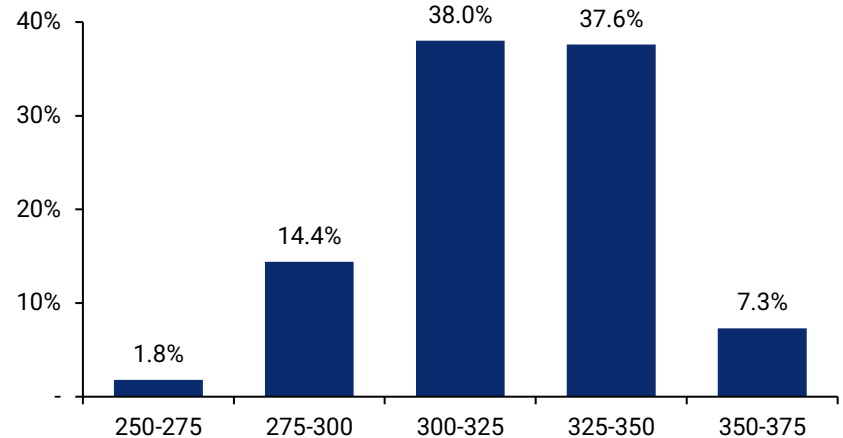
US Inflation (Core PCE)



Consumer Sentiment



CME FedWatch Expected Rate for June 17th, 2026



Recent FedSpeak and underlying economic trends point towards an increasingly dovish Fed



Thesis 1: Australia’s Rate Advantage

Dissecting Unemployment

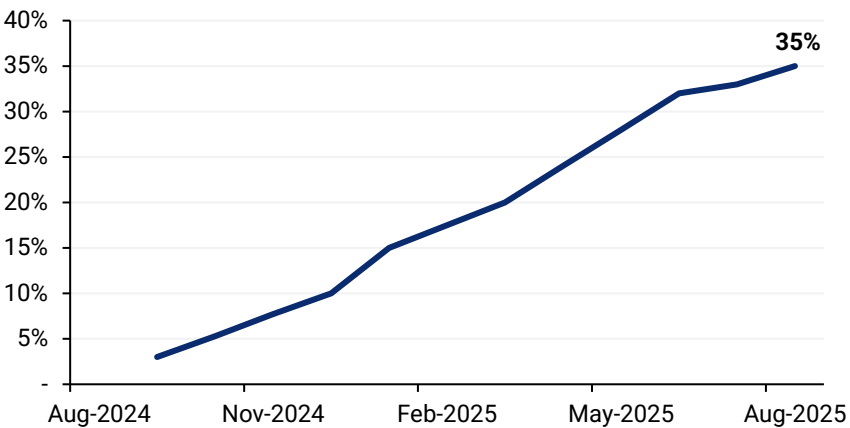
In recent meetings, the FOMC judged that: **"downside risks to employment rose,"** necessitating a shift in policy focus. Chair Powell has stated clearly that **"risks to employment are tilted to the downside,"** whereas inflation risks are largely seen as known variables (tariffs)

Challenger Report	Oct. 2025	Historical	Implication
Planned Job Cuts	153,074 ⁽¹⁾	Highest since Oct. 2003	Hiring Freeze → Reduction
Planned Cuts YTD	1,099,500 ⁽²⁾	+65% YoY	Accelerating
Warehousing Sector	47,818	Sharp Increase	Anticipated Demand Slowdown
AI-Driven	31,039	Rising Share	Reduce Labor Demand
Planned Hires YTD	488,077 ⁽³⁾	-35% YoY	Increased Efficiency & Lower Demand

(1) On announcement, the S&P 500 fell 1%, Nasdaq 100 fell 1.5%, 10Y Treasury yield down 5%
(2) 30% consists of DOGE cuts
(3) Lowest monthly average (48,808) since 2011 (44,798)

Increasingly, hiring is no longer driven primarily by customer demand and economic fluctuations, but by a need to replace a growing number of departing workers.

Pass-Through of Tariffs on Core PCE Prices



Goods (YoY)

- **Core Goods:** 1.5%
- Goods inflation has reaccelerated & is reversing from deflation
- **Household Furnishing:** 4.1%
- **Used Cars & Trucks:** 5.1%

Services (YoY)

- **Services (ex-Energy):** 3.5%
- SuperCore:
- **Shelter:** 3.6%
- **Transportation:** 2.5%
- **Medical Care:** 3.9%

Tariffs

Pass-Through (35%)

- Transitory?
- Delayed Pricing?
- Competition?

**Jun-Aug 2025
Annualized Inflation**

Core PCE

Data

Without Tariffs

2.90%

2.49%

Rate Cut Debate Intensifies as Job Market Pain Outweighs Tariff-Driven Inflation Concerns

Thesis 1: Australia's Rate Advantage

Threats to the Fed's Independence



The American people must be able to have full confidence in the honesty of the members entrusted with setting policy and overseeing the Federal Reserve!!!!

President Trump purported to fire me 'for cause' when no cause exists under the law, and he has no authority to do so. **I will not resign. I will continue to carry out my duties to help the American economy as I have been doing since 2022.**



A supreme court ruling in May found that it **was lawful for the White House to remove a member of the National Labor Relations Board** without cause, but made clear the **same would not apply to the Fed, since it is a "uniquely structured, quasi-private entity"**



Once it became clear that the President was getting closer to making a decision, the markets really celebrated, interest rates went down, and we had one of our best treasury auctions ever.

Ending Quantitative Tightening

The October 29th meeting included a second, dovish, action: It announced the **end of its Quantitative Tightening program.**

What this means: The Fed will stop shrinking its \$6.5 trillion balance sheet, ending the tightening that has been pulling liquidity from the market for three and a half years

Active Easing: The Fed will now reinvest principal payments from its mortgage-backed securities into T-bills, actively supporting liquidity and putting downward pressure on short-term yields

The Fed is now easing on 2 fronts:
Rates
Ending Quantitative Tightening

Global Central Bank Divergence



Facing a cooling labor market and potential AI-driven productivity gains, the Fed is signaling a shift to neutral or easing.



Facing stagnation, looking to cut.



Facing sticky inflation and zero productivity growth, forced to hold or hike.



Thesis 2: Trade and Capital Tailwinds

Section II.



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Thesis 2 – Export Diversification, Asia Trade Flows, and Capital Inflows

Main Australian Exports, Goods & Services

Rank	Commodity	AUD\$mmm 2024	% Share	YoY Growth
1	Iron ore & concentrates	124,545	19.3%	(8.6%)
2	Coal	85,170	13.2%	(17.5%)
3	Natural gas	67,465	10.5%	(9.2%)
4	Education-related travel services	51,518	8.0%	9.8%
5	Gold	35,702	5.5%	25.9%
Total Export Value		644,365	100.0%	(4.5%)

Despite a 2024 YoY decline, export values are projected to increase by ~2.5% and ~3.0% in 2025 and 2026, respectively.

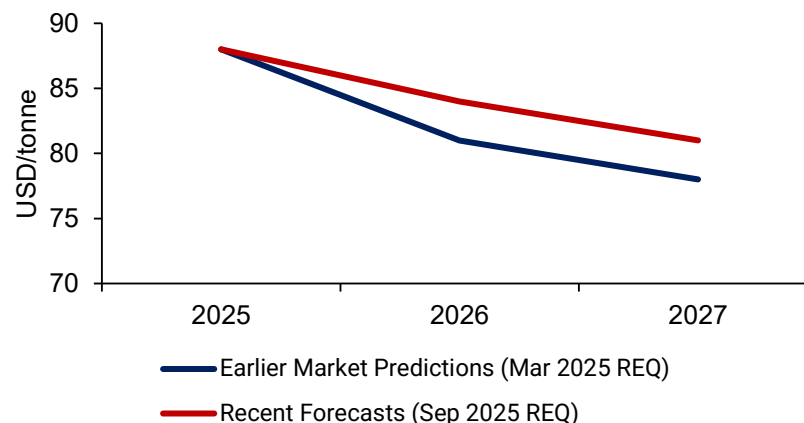
Iron Ore Outlook Improves on China-led Stimulus Jump

- **Iron ore and steel fundamentals surprised to the upside in Q3 2025.** Short-term Chinese demand proved stronger than expected, lifting steel production, margins, and market sentiment.
- **A single policy announcement also contributed to the shift.** China's July approval of a major hydropower project in Tibet supported raw-material demand, reduced port inventories, and pushed **62% Fe prices back toward ~\$100/tonne**.
- **These developments prompted upward revisions to Australia's iron ore outlook.** Forecast export earnings for 2025–26 and 2026–27 were **revised higher**, despite the longer-term expectation of gradually softer prices as new global supply comes emerged.

Diversification of Australian Export Base

- The 2024 export values decrease was mainly driven by metalliferous and coal commodity price decreases, partly due to **weaker demand in China's property and steel sectors**.
- In 2024, services exports grew **from ~16% of total goods & services exports to ~20%**. Similarly, in Q3 2025, **services exports grew 3.3 % QoQ**, and Q4 growth is expected to maintain a similar pace, supported by strong tourism activity.
- **Growing diversification into high-value services is typically positive for the AUD**, reducing reliance on volatile commodities and signaling less cyclical external earnings, factors that investors usually reward with a stronger currency.

Iron Ore Price Forecast Revisions (USD/tonne)



Focus on commodity export headlines may lead markets to undervalue the AUD by overlooking the growing strength of its broader export base.



Thesis 2 – Export Diversification, Asia Trade Flows, and Capital Inflows

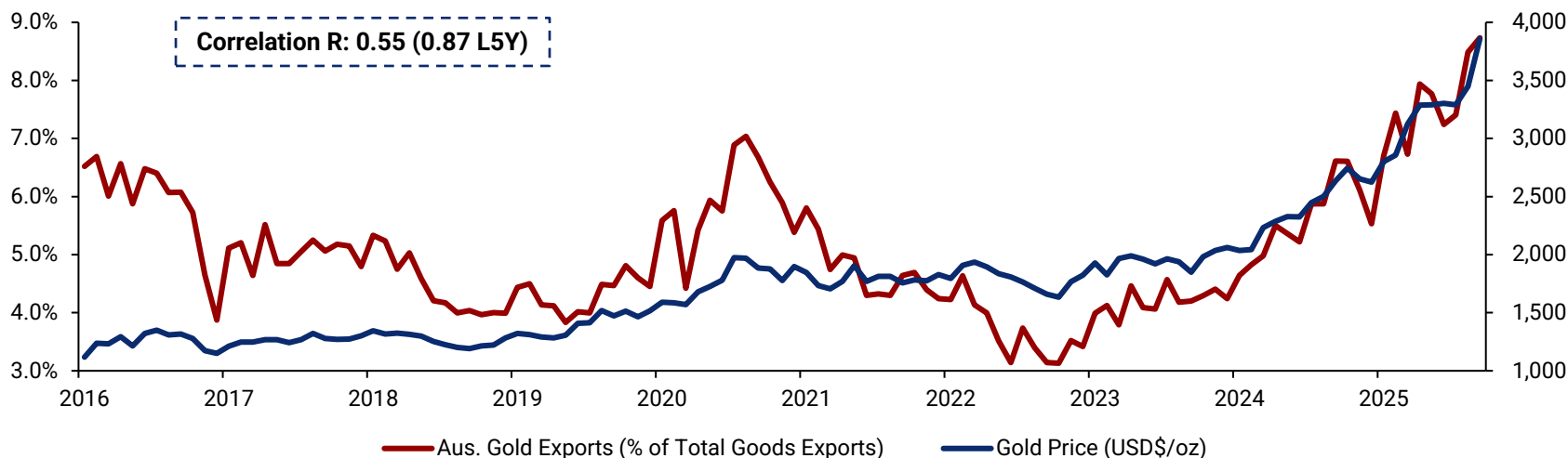
High Gold, Happy Australia

- Global gold prices are forecast to remain above **US\$4,000/oz.** Combined with rising mine output, this has driven a **~40% jump in gold export earnings to AUD\$47bn in 2024–25**, with another **~30% to AUD\$60 bn expected in 2025–26.**
- Gold is becoming Australia's second-largest export earner**, projected to overtake LNG and coal, materially boosting trade surplus and supporting the external accounts, both AUD-positive.
- Australia, already the **world's third-largest gold producer**, is set to grow output from **293 tonnes (2024–25) to 369 tonnes (2026–27).**

A Historical Link and Future Tailwind

- The Australian dollar has historically moved closely with gold prices, with **correlation fluctuating between 40% and 80% depending on market conditions.**
- Looking ahead, global **demand for gold is expected to remain strong through 2026**, driven by **continued central bank purchases, investment flows, and industrial demand.**
- Combined with **rising domestic mining output and exploration**, this suggests that gold will continue to provide a **meaningful tailwind for the AUD**, reinforcing Australia's position as a major global supplier and supporting national economic resilience.

Monthly 10-Year Relationship Between Australian Gold Exports and Gold Prices





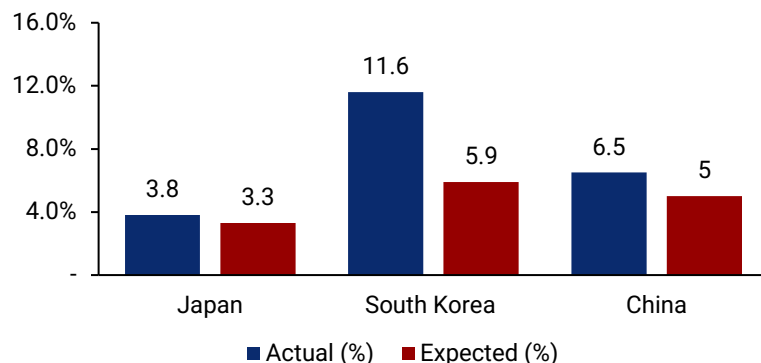
Thesis 2 – Export Diversification, Asia Trade Flows, and Capital Inflows

China's Momentum Is Reaccelerating

China's industrial recovery is beating expectations, lifting demand for Australian raw materials:

- **Industrial output beat expectations** in late 2025, rising **6.5% YoY**, with high-tech manufacturing +9.3% and equipment manufacturing +8.1%, signaling renewed industrial demand.
- Commodity demand is surging as China has imported **1.03bn tonnes** of iron ore YTD; November arrivals are estimated at **116–121m tonnes**, putting 2025 on track to **set a record high**.
- **Exports are outperforming** as August exports grew **4.8% YoY**, led by mechanical & electrical goods (**+9.2%**), highlighting resilient competitiveness amid global softness.

Industrial Production YoY Increases - Asian Partners (Sep 2025)



Upside surprises across Asia indicate firmer-than-priced demand conditions for Australia's 3 largest export markets

Forward Indicators Point to Stronger 2026 Chinese Demand

- **Goldman Sachs raised China's 2026 real GDP forecast from 4.3% to 4.8%** and also **lifted its 2027 forecast from 4.0% to 4.7%**, reflecting a more optimistic outlook for China's growth.
- **DBS Bank projects real GDP growth of 4.5% in 2026**, slightly above current market consensus of ~4.1-4.3%, driven by high-tech manufacturing, infrastructure investment, and improving household sentiment.
- **Import volume growth** has already begun to recover and is expected to **accelerate through 2026** as consumption contributes over **50%** of GDP growth.

Why This Matters For the AUD

- **China purchases roughly 35% of Australia's total exports**, so a stabilizing and gradually reaccelerating Chinese economy directly supports Australia's trade balance and export revenues.
- The **rebound in industrial production**, alongside record-high iron ore import volumes, points to strengthening demand for Australian commodities and **reinforces AUD-positive terms-of-trade dynamics**.
- Policymakers in China have **refrained from deploying large-scale stimulus**, indicating confidence in underlying economic momentum rather than concern about a deeper slowdown.

Asia's surprising industrial resilience lays the foundation for a stronger AUD into 2026



Thesis 2 – Export Diversification, Asia Trade Flows, and Capital Inflows

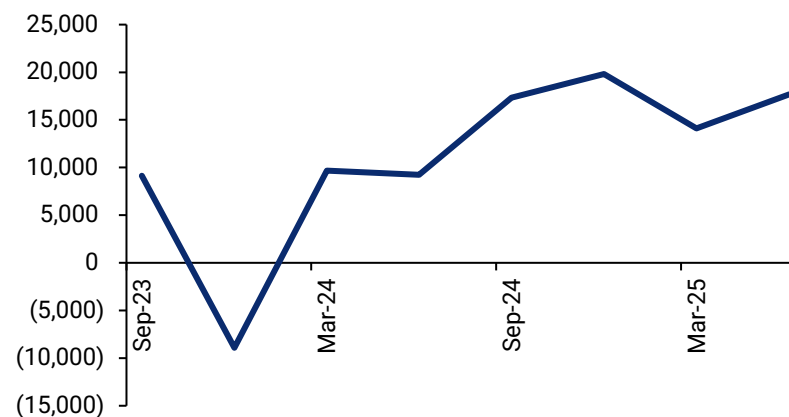
Importance of the Capital and Financial Account

- The capital and financial account measures cross-border flows of investment – foreign investment into Australia (inflows) versus Australian investment abroad (outflows). Simply put, a **surplus means more money coming into Australia than exiting**.
- Implications for the AUD:
 - **Currency demand rises:** More foreign inflows mean foreigners need AUD to invest in Australian assets, supporting the currency.
 - **Confidence signal:** A growing surplus indicates foreign investors view Australia as attractive and are committing capital.
 - **External balance improves:** Increased net inflow reduces pressure on the current account and the BoP.

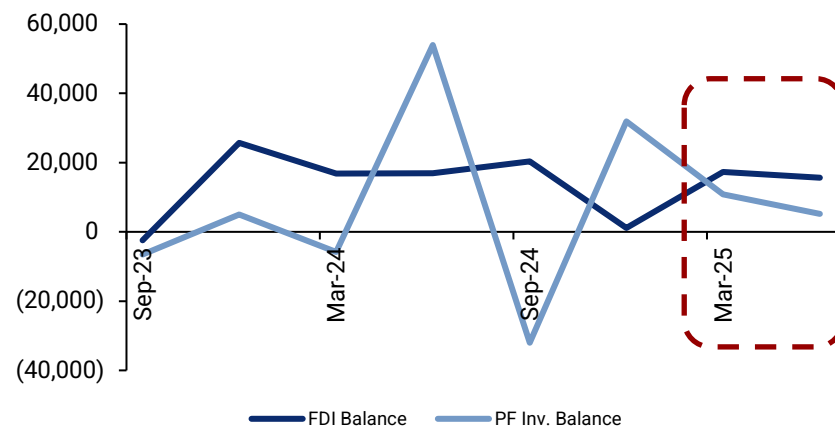
The Financial Account Caveat

- **Net inflows ≠ automatically AUD-positive: the composition of inflows often matters more than the net number.** High net inflows could be dominated by short-term speculative flows, which can reverse quickly in times of risk-off sentiment, putting downward pressure on AUD.
- Foreign direct investment (FDI) is considered the “best” type of inflow for supporting AUD because it’s stable and tied to real economic activity.
- **Portfolio and other short-term inflows** can still support AUD temporarily, but **are more prone to sudden reversals**, especially during risk-off periods.
- **Increase in FDI liabilities** → broadening composition into other sectors, greenfield investments, interest in non-USD exposure.

Australia Quarterly Capital & Financial Account Balance (AUD\$mm)



FDI vs. Portfolio Investment Balance (AUD\$mm)



Most investors seem to focus on headline goods trade, while the financial account's momentum supports strong AUD fundamentals



Thesis 2 – Export Diversification, Asia Trade Flows, and Capital Inflows

Australia's Stable Political Landscape

- Unlike the U.S. and much of Europe, Australia has not experienced a major populist right-wing surge, keeping its **political environment stable and predictable for investors**.
- Australia's mainstream parties remain **centrist and moderate**, avoiding the policy volatility, budget standoffs, and election-cycle disruptions **seen in other Western economies**:
 - The U.S. with recurring debt-ceiling fights, the U.K. with frequent leadership turnover, and Europe's rise of far-right parties.
- This **institutional stability reduces** political-risk premia and supports stronger capital inflows into **AUD-denominated assets** during periods of global uncertainty.

Shifting FX Hedging

- **Investor behavior is shifting**: BlackRock reports that **38% of 2025 flows** into EMEA-listed U.S. equity ETFs were **FX-hedged**, a sharp change from **2024 when 98% of flows were unhedged**, indicating rising efforts to **hedge USD exposure**.
- Hedging activity remains **historically elevated**, driven by concerns over U.S. fiscal stability and policy credibility.
- As investors diversify away from USD-specific risks, the AUD becomes **more attractive** thanks to Australia's stable macro backdrop, resilient exports, low direct tariff exposure, and strong institutional credibility.

Australia's Favorable Position in the Tariff Cycle

Australia's diversified exports and lower U.S. exposure help shield the AUD from tariff disruptions:

- Australia has **minimal direct exposure to U.S. tariffs**, with steel and aluminum exports to the U.S. making up <0.2% of its total exports, even under the new 50% tariff rate on both goods.
- Australian exports remain **resilient**, with container volumes growing **~6.5% YoY** despite global trade uncertainty.
- Business confidence in Australia has **strengthened compared to most Western Economies** since tariffs were announced, indicating insulation from global spillover.

AUD as a Surrogate Hedge Against USD



International flows show **growing demand for AUD** exposure as **investors look beyond the USD**.

Morgan Stanley

With the **USD losing momentum**, investors are increasingly **positioning the AUD as a G10 outperformer** that benefits from stronger global risk appetite and Australia's macro fundamentals.



Long-term structural factors make the **AUD one of the more compelling G10 currencies**.





Valuation

Section III.



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Valuation Model and Data Inputs

Valuation Approach & Objective

- **Goal:** Estimate the future USD/AUD spot rate to profit from AUD futures undervaluation
- Use of the Autoregressive Integrated Moving Average (Exogenous) Model (**ARIMAX**)
 - Captures both **serial correlation** of the Exchange Rate through time and allows for the use of **exogenous regressors**
 - Widely used method for currency valuation
- Based on 95 monthly observations from January 2018 to November 2025 to capture both the historic relationships between variables and macroeconomic shocks

$$\ln(\text{AUDUSD})_t = \beta_0 + \beta_1 \text{RateDelta}_t + \beta_2 \ln(\text{IronPrice})_t + \beta'_{MC} \text{MacroControls}_t + \beta'_{EC} \text{EventControls}_t + \sum_{i=1}^k \phi_i \ln(\text{AUDUSD})_{t-i} + \sum_{j=1}^p \theta_j \varepsilon_{t-j} + \varepsilon_t$$

Valuation Assumptions

- A **\$5,000 margin** offers significant leverage, creating the potential for high upside in a directional view on AUD/USD
- Focus on June 2026 CME AUD/USD futures to reduce uncertainty compared to longer-dated contracts while still maintaining a forward-looking outlook
- Single-contract approach maintains valuation and trade simplicity while keeping exposure to high returns

Predictor Selection

- **Explanatory Variables:**
 - The **Interest Rate Differential**, "RateDelta", between the Australian Rate and the US rate as a key positive driver
 - **Iron Prices** since the commodity represents the largest share of exports and is dependent on China's resilience
- **Macroeconomic Control Variables:**
 - VIX, Gold Prices, DXY, US and Australian Inflation Expectations, which are included to capture global and national trends
- **Event Controls:**
 - The sample includes **global shocks** such as the COVID pandemic, trade tensions between the US and China during Trump's first term, another larger trade war during Trump II that distorts the relationship between the Exchange Rate and its historical drivers

Predictor Exclusion

- Predictors such as the VIX, National Inflation Expectations, or Commodity Prices contain information about other possible predictors
- Model **requires forecasting or assuming future values of predictors** to evaluate the exchange rate, which adds complexity to the inclusion of certain regressors (ex: services exports or FDI)
- **Indicators on Asian economies, including China**
 - Lack of data and difficulty of estimating future values
- **Australian Terms of Trade**
 - In the period covered, through the global shocks it included, the relationship with the currency price appeared weaker

Summary Statistics

Predictor Summary Statistics

Variable		Mean	Std. Dev.	Min	Max
Macro Control Variables	RateDelta	① -50.832	46.898	-140	20
	Ln(Iron Prices)	4.667	.247	4.159	5.373
	Ln(Gold Prices)	7.639	.392	7.082	8.434
	VIX	① 17.5	9.272	0	53.54
	Inflation_Exp_US	2.19	.497	.533	3.425
Events Control	Inflation_Exp_AUS	2.045	.622	.112	2.826
	RateDelta x First_Tradewar	-10.37	28.083	-140	0
	② Ln(Iron Prices) x First_Tradewar	.687	1.6	0	4.796
	③ RateDelta x Trump_effect	-2.62	10.831	-78	2
	③ Ln(Iron Prices) x Trump_effect	.385	1.282	0	4.696
	④ DXY x Covid	.128	.758	0	4.596

- ① **The Interest Rate Differential** and the **VIX Index** exhibit both high signal spreads between their extreme values and large standard deviation
- High variation from changing macro regimes and global shocks give more statistical significance to the model

- ② **First_Tradewar:** Dummy variable set equal to 1 for the period March 2018 to July 2019, characterizing trade tensions between the US and China during the first Trump Administration
- Interacted with the model's explanatory variables to identify if during a shock impacting China Rate Differentials and Iron Prices remained relevant in explaining the level of the AUD/USD

- ③ **Trump_effect:** Dummy variable set equal to 1 for the period September 2024 to May 2025 to account for the distorting impact of Trump's policy expectations during the campaign and the trade war that followed in H1 2026
- September to December 2024 represented a period of optimism where the DXY reached near-all-time highs, while January to May 2025 led to concerns about the US dollar as the reserve currency

- ④ **Covid:** Dummy variable from February to April 2020 amid fears of a Global Recession that led to a rush toward dollar safety

Regression Results

Summary Regression Results

VARIABLES	Ln(AUDUSD)
1 RateDelta	0.000506*** (0.000115)
Ln(Iron Prices)	0.0738*** (0.0124)
VIX	-0.00113** (0.000555)
2 Inflation_Exp_US	0.0378*** (0.0123)
Inflation_Exp_AUS	-0.0322*** (0.0125)
RateDelta x First_Tradewar	0.000595* (0.000344)
Ln(Iron Prices) x First_Tradewar	0.0178*** (0.00635)
DXY x Covid	-0.0140*** (0.00415)
3 RateDelta x Trump_effect	-0.00196*** (0.000576)
Ln(Iron Prices) x Trump_effect	-0.0246*** (0.00365)
Ln(Gold Prices)	-0.0754*** (0.0123)
L.ma	-0.316* (0.191)
Constant	-0.117 (0.117)
Standard errors in parentheses	
*** p<0.01, ** p<0.05, * p<0.1	

Interpretation of Key Results

1 Both RateDelta and Iron Prices are positive and highly significant, confirming a strong and stable fundamental link to AUD/USD

2 Global and domestic controls behave as expected: higher VIX depresses AUD, while shifts in inflation expectations capture macroeconomic pressures

3 Trump-related interactions reverse the usual AUD drivers, indicating that geopolitical uncertainty distorted historical predictor relationships

AUD dynamics remained resilient, even amid trade dispute between world largest economies and Australia's key trading partners

During recession fears, AUD was viewed as riskier, leading to a stronger USD flight-to-safety effect

Limitation of the model: over the past year, Gold surged but AUD failed to climb to the same extent



Scenarios and Returns

Scenario	Key Predictor Assumptions	Expected Spot Rate	Implied Upside
Bull	Rate Differential: FED cuts by 50bps in in December, taking the rate down to 300-325 bps as of June 2026. Iron Ore Prices: Only a gradual 2% decrease over the next 13 months.	0.7009 USD/AUD	91.1%
Base	Rate Differential: FED cuts rates in December and engages on path to cutting rates down to 300-325 bps by December 2026, reaching 325-350 bps by June 2026. Iron Ore Prices: Gradual 5% price decrease over the next 13 months.	0.6881 USD/AUD	65.5%
Bear	Rate Differential: FED does not cut rates in December, and rates are only cut once down to 350-375 bps by June 2026. Iron Ore Prices: Gradual 11% overall decrease over the next 13 months compounded by a softer activity in China.	0.6712 USD/AUD	35.4%

CME June 2026 AUD futures contract settlement
(as of Nov. 28, 2025):

0.65535

CME Initial Account Margin Assumption:

USD\$5,000





Risks & Catalysts

Section IV.



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Risks & Catalysts

Risks		Catalysts	
	Fed Re-Pricing Risk – USD Could Regain Policy Advantage Fed may soften easing pivot if US inflation picks up or if employment remains strong.		RBA Holds Higher For Longer vs. Fed Cuts RBA extended restrictive policy widens yield gap. Surprise Fed dovishness creates upside.
	RBA Forced into Early Cuts if Domestic Strength Falters Unemployment rising from 4.3% would most likely force the RBA to cut earlier than expected.		Continued Strength in Australian External Accounts Stronger-than-expected export data (services + commodities) surprises the market to the upside. Improving capital/financial account dynamics, especially rising FDI inflows, signal AUD resilience.
	China Slowdown or Policy Misstep Undermines Terms of Trade Renewed property-sector pressures, weaker private credit demand or infrastructure pullbacks would lower demand for Australian raw materials.		Increasing Positioning Reversal from Under-Owned AUD - Funds reallocating from USD overweight to “USD alternatives” provide multi-week tailwinds. - Any headline about diversification away from USD would generally benefit AUD sentiment.
	Commodity Price Reversal: Iron Ore or Gold Correction Iron ore faces accelerated downside from global supply increases (Brazil/West Africa) or a pause in China’s steel output. Gold prices could retrace if global liquidity tightens or if central banks reverse buying targets.		China Growth Re-Acceleration Surprises to the Upside Upward revisions to China’s 2026 GDP outlook improve terms-of-trade and FDI expectations for Australia. Any positive China macro surprise (industrial output, retail sales, infrastructure approvals, etc.) tends to trigger AUD buying due to high beta to China’s cycle.
	Risk-Off – AUD Is Not Fully a Safe Haven AUD may still behave as pro-cyclical under stress, and USD demand would override AUD fundamentals in true risk-off episodes.		



Appendix

Section V.

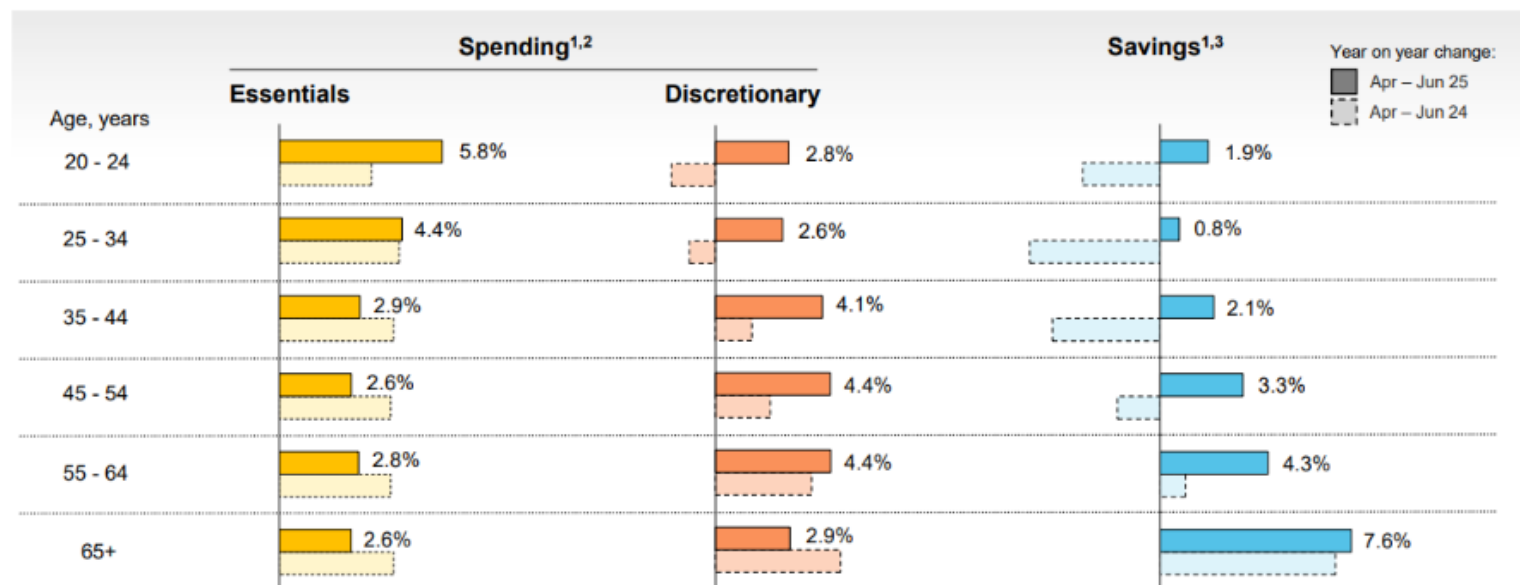


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Appendix 1 – Australian Consumer by Age

Pressures easing but caution remains

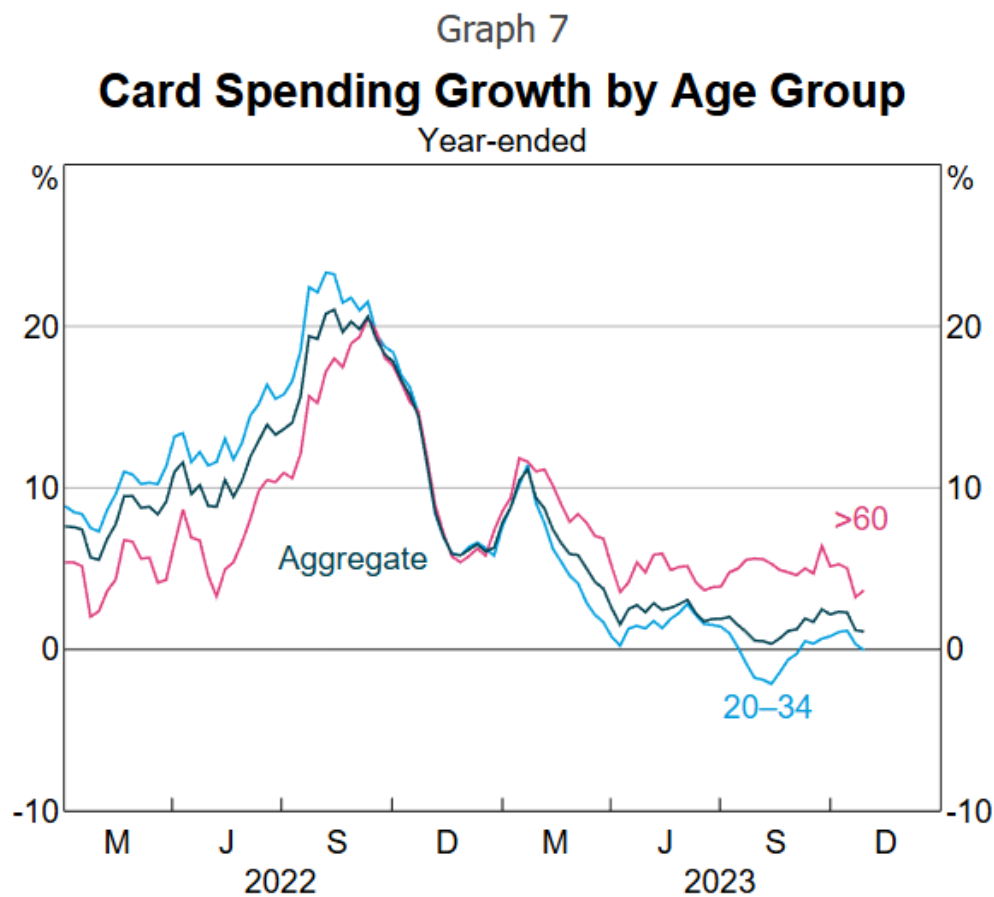
Income growth and changes in rate cycle supporting spending and savings increases



1. On a nominal basis. Per customer. For spending 13 weeks to end of June, for savings the average balance as at end of quarter. Consistently active card customers and CBA brand products only.
 2. Spending based on consumer debit and credit card transactions data (excluding StepPay). 3. Includes all forms of deposit accounts (transaction, savings and term) and home loan offset and redraw balances. Trimmed mean excluding top and bottom 5% of customers within each age band.



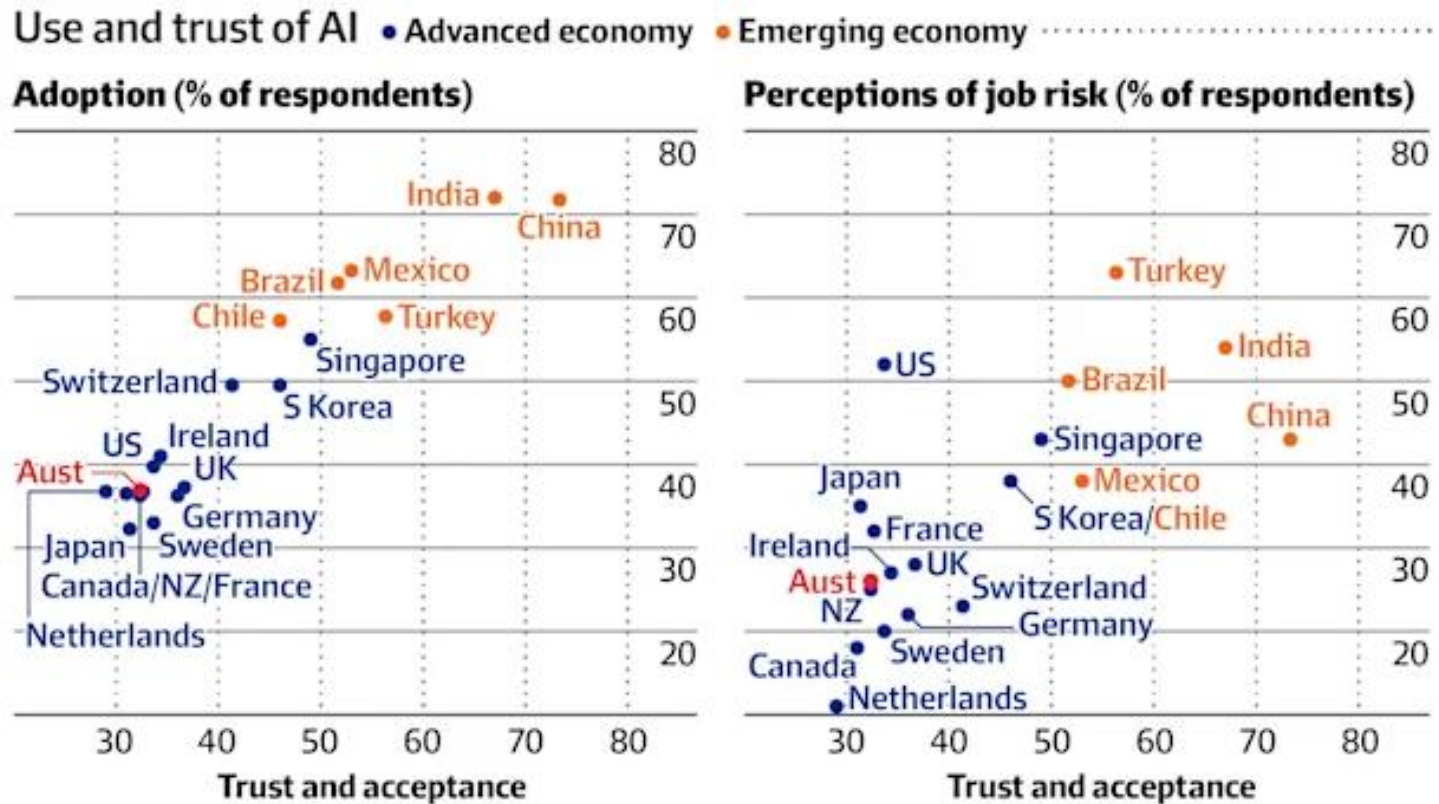
Appendix 2 – Australian Consumer by Age



Sources: CBA; RBA.



Appendix 3 – Australian AI Adoption

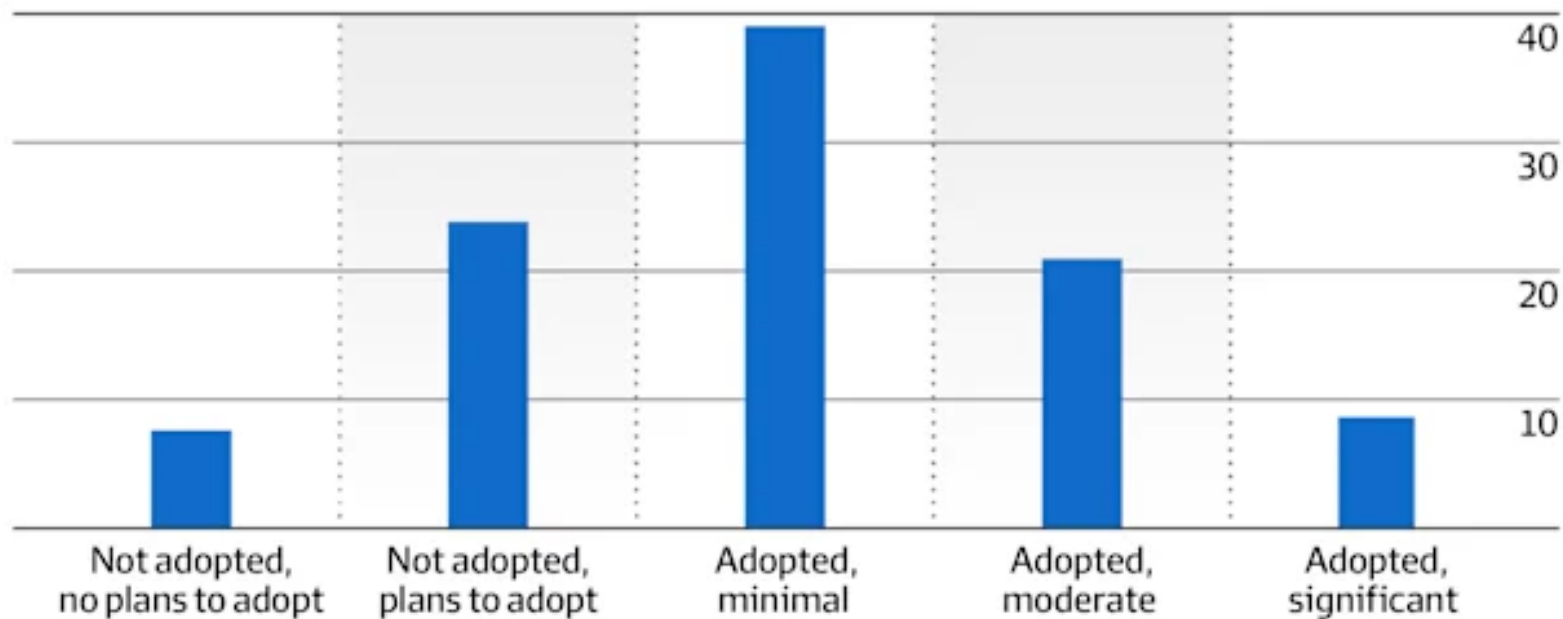


SOURCE: RBA



Appendix 4 – Australian AI Adoption

Adoption of AI by Australian firms (% of respondents)



SOURCE: RBA

The RBA estimates a 3-5 Year Lag on AI Adoption in Australia





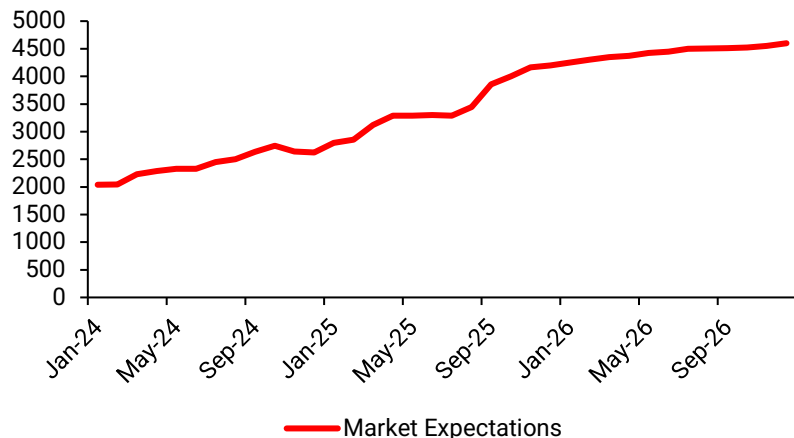
Appendix 5 – Next Fed Chair Odds





Appendix 6 – Commodity Price Assumptions

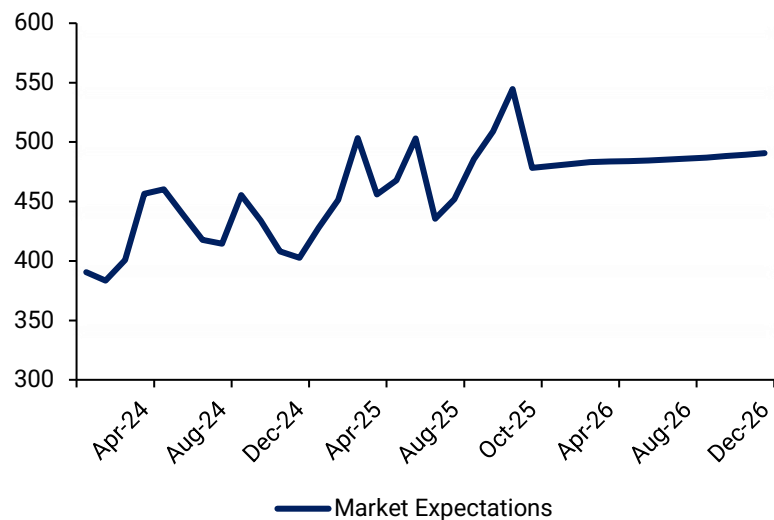
Gold Prices (USD/oz)



WTI Oil Prices (USD\$/barrel)



Copper Prices (USD\$/t)



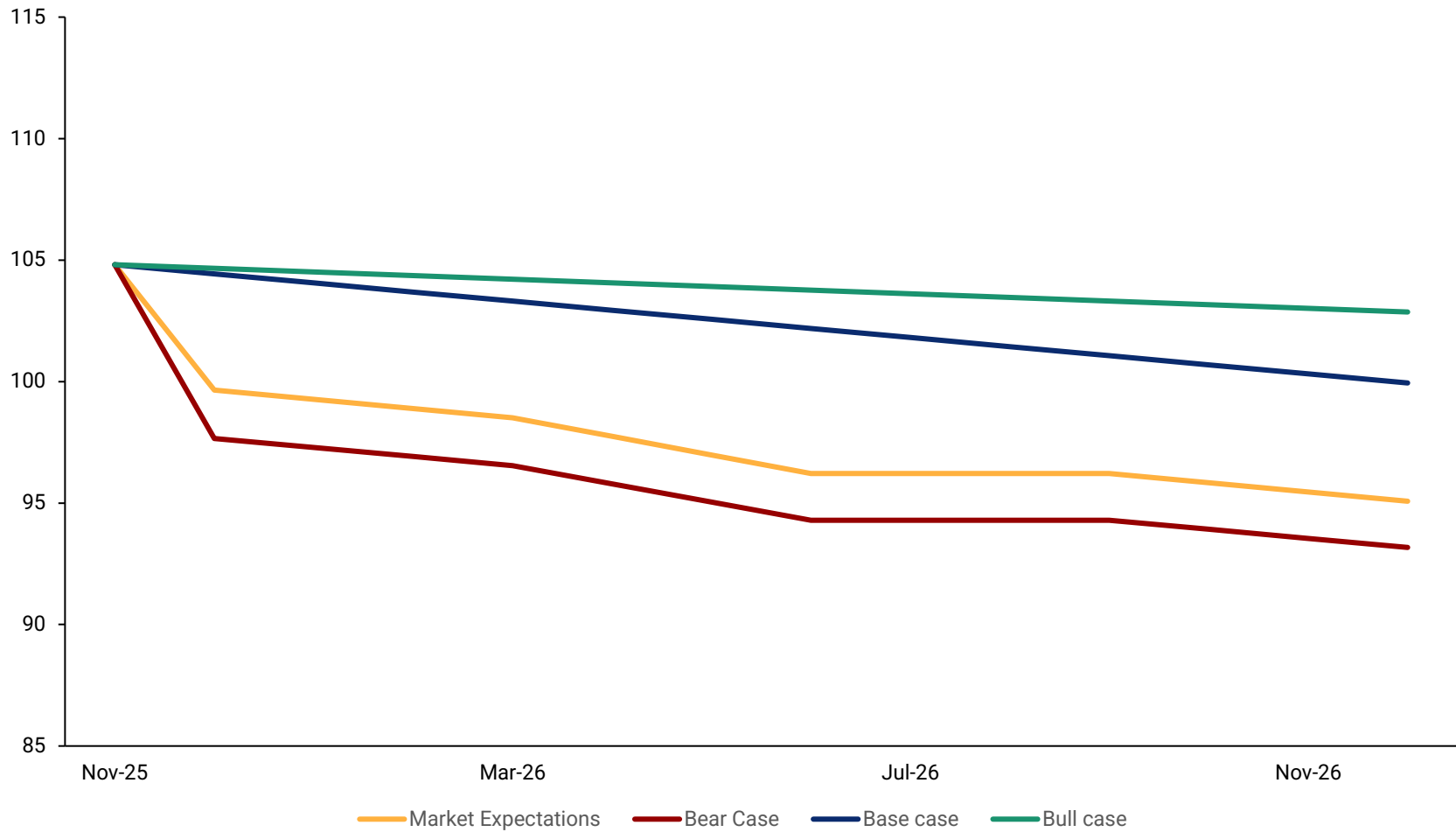
Thermal Coal Prices (USD\$/t)





Appendix 7 – Iron Ore Price Assumptions

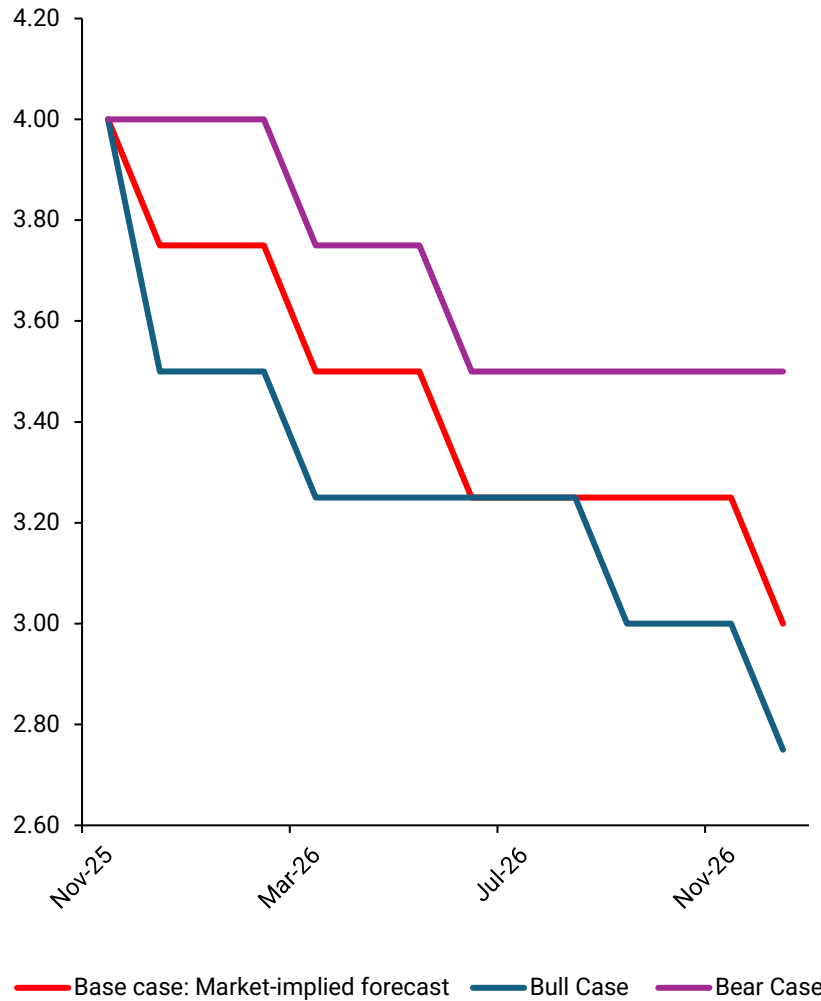
Iron Ore Prices (USD\$/t)



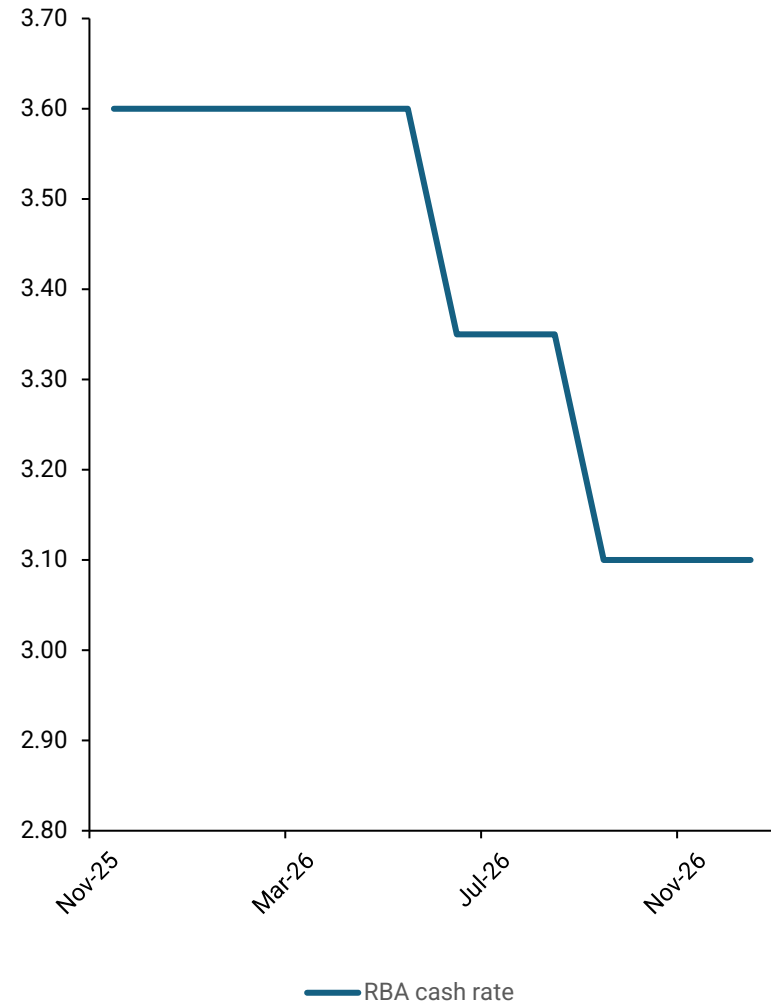


Appendix 8 – Target Rate Assumptions

Federal Funds Rate – Top of Corridor (%)



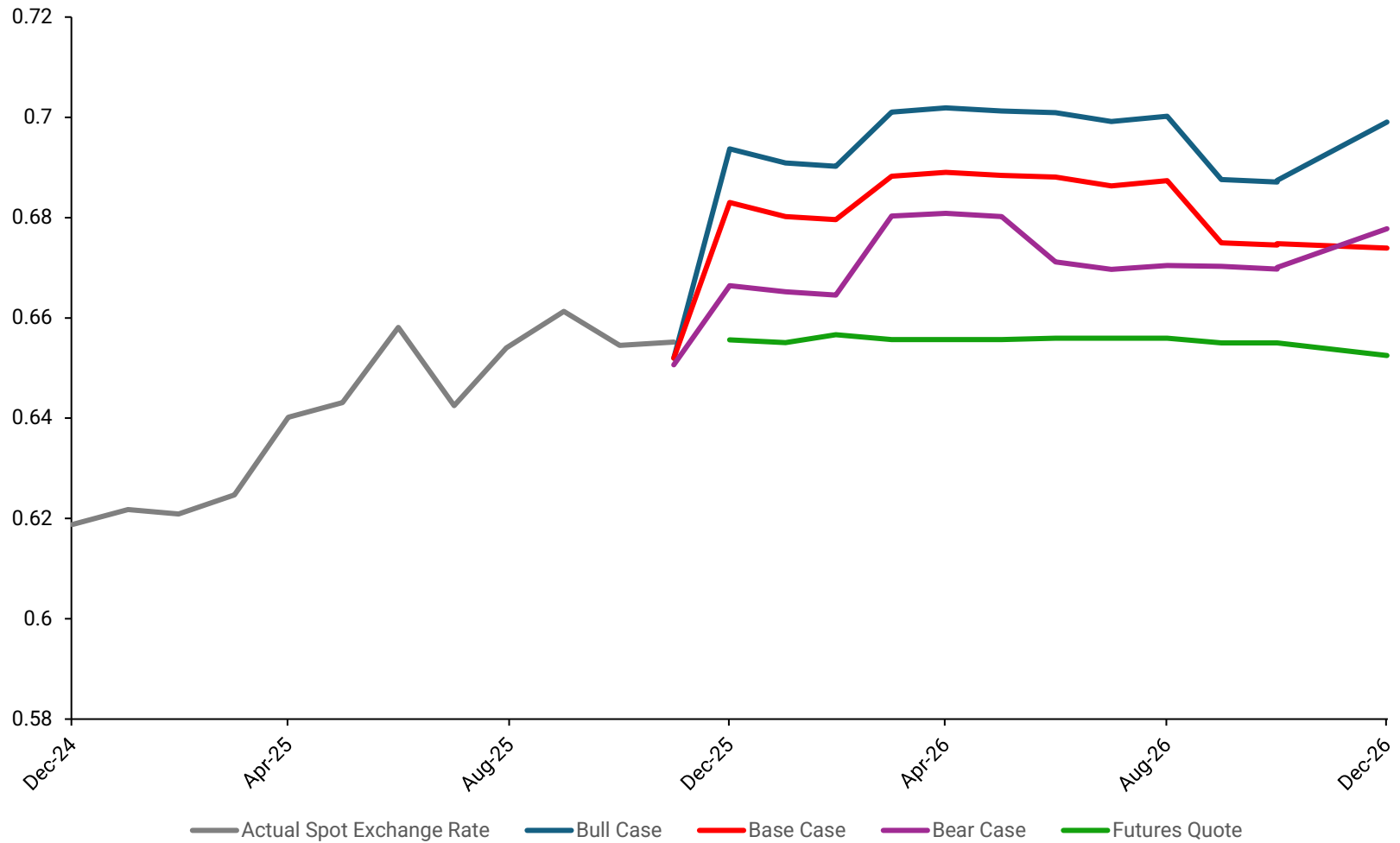
RBA Cash Rate (%)





Appendix 9 – Exchange Rate Outputs

Forecasted Exchange Rate vs Futures Contracts



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